Investopia

REGULATIONS AND RESEARCH DIGEST · ETHIOPIA

World Bank research on Ethiopia

Plain-English summaries of the official documents that shape investing in Ethiopia, with what each one means for investors and businesses.

PUBLIC EDITION

Investopia · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

Updated October 16, 2026
Refreshed monthly

— Overview

World Bank Group diagnostics, outlooks, policy documents and working papers on Ethiopia's economy, reforms, markets and firms. They give investors independent data on growth, the 2024 exchange rate and banking reforms, the sectors drawing World Bank Group support, and the practical factors businesses plan around.

01 Documents in this digest (14)

Country strategy · Published (research)

Country Partnership Framework for the Federal Democratic Republic of Ethiopia for the Period FY27-FY36: Building Strong Foundations for More and Better Jobs

Report No. CPF0000018 · World Bank Group (IDA, IFC, MIGA) · June 23, 2026

The World Bank Group's 10-year strategy for Ethiopia makes private-sector job creation its central goal, with about two million people entering the labor market each year. It targets agribusiness, light manufacturing and domestic pharmaceuticals, with housing as a complementary jobs engine. It also sets out the areas where reform support will focus: finance, trade and tax policy, infrastructure, foreign exchange access and the role of state-owned enterprises in key markets.

Why it matters: This shows where IFC investment, MIGA guarantees and IDA reform money will go through 2036. Investors in agribusiness, light manufacturing, pharmaceuticals and housing are the most likely to find co-financing, risk cover and reform support. The operating factors the strategy names, such as power reliability, logistics costs and FX access, are useful inputs for any business plan.

Macroeconomic outlook · Published (research)

Ethiopia Macro Poverty Outlook, April 2026

World Bank · 2026-04

The World Bank estimates GDP growth at 9.2 percent in FY25 and forecasts 8.0 percent for FY26. Inflation fell to just under 10 percent in February 2026, and reserves reached US$6.4 billion (2.8 months of imports) at end-December 2025. The parallel market premium is in the high teens, the policy rate has been 15 percent since July 2024, and Eurobond negotiations are ongoing. The outlook highlights completing the FX reform, removing remaining investment barriers, state-owned enterprise finances and fuel prices as the factors to watch.

Why it matters: This is the latest official World Bank view of the numbers investors use for planning: growth, inflation, FX reserves and the parallel-market gap. Imports rose 23 percent as FX became easier to get, so FX availability is improving for businesses. The high-teens premium and the 15 percent policy rate are the benchmarks for currency and financing assumptions.

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Jobs and labor | Published (research)

From Policy to Practice: Lessons from the Implementation of the Refugee Work Rights Policy in Ethiopia

Policy Research Working Paper 11254 · World Bank (Ana Maria Perez, Sandra V. Rozo) · November 10, 2025

The paper reviews the early rollout of work permits for refugees under the 2019 Refugee Proclamation and later directives. Permit issuance rose after detailed operational guidance was adopted in 2024, and about 5.2 percent of working-age refugees now hold a permit, leaving room for growth. The authors recommend better coordination, more regional capacity, greater awareness among refugees and employers, and stronger incentives to formalize.

Why it matters: Ethiopia hosts a large refugee population, and refugees can now legally be hired, widening the available workforce. The paper explains the permit process and how to navigate it, which is useful for employers in labor-intensive sectors and near refugee-hosting areas.

Public debt | Published (research)

The Federal Democratic Republic of Ethiopia: Joint Bank-Fund Debt Sustainability Analysis

World Bank (IDA) and International Monetary Fund staffs · 2025-09

The joint World Bank and IMF analysis sets out the path for Ethiopia's debt restructuring under its reform program. Official creditors under the G20 Common Framework reached an agreement in principle on March 21, 2025, and talks with Eurobond holders continue. With the illustrative debt treatment, the analysis projects Ethiopia's debt risk rating improving to moderate by the end of the IMF program in July 2028, and it estimates that about US$3.5 billion in relief is needed over the program period. It notes that high external debt relative to exports is the main factor, which makes export growth central to the outlook.

Why it matters: The restructuring timeline shapes country risk premiums, the cost of trade finance and how much FX becomes available to businesses. Investors can use this analysis to track progress on sovereign, banking and payment conditions, and exporters can see why export growth is a policy priority.

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Digital economy · Published (research)

Ethiopia Telecom Market Assessment

Report No. 203975 · World Bank Group (Digital Vice Presidency), at the request of the Ethiopian Communications Authority · 2025-07

The assessment finds that Ethiopia's telecom market has opened since 2018 and sets out how to deepen competition. 4G coverage rose above 40 percent of the population by early 2025, while average mobile broadband speed is 4.5 Mbit/s and ARPU is about US$1 per month, leaving large room for growth in quality and usage. The regulator found Ethio Telecom has significant market power in six market segments; Safaricom held about 7.7 percent of market revenue in FY24 and reported losses of US$325 million. The report reviews below-cost voice bundles and telebirr-linked discounts, and recommends cost-based interconnection, open access for tower and infrastructure companies, and open government payment channels.

Why it matters: Telecom, fintech, tower and data-center investors can use this report to judge market structure and the direction of regulation. It lists the reforms that would open new business: published reference offers, a cost model at the Ethiopian Communications Authority, TowerCo licensing, and access to government payment flows.

Urban land · Published (research)

Integrated Urban Land Management for Climate Sensitive Cities: Constraints, Opportunities, and Lessons from Ethiopia

World Bank · June 9, 2025

The report draws lessons from World Bank studies and interventions in Ethiopia during 2022 to 2024 on integrated urban land management. It describes Ethiopia's urbanization trends and the institutional, policy and implementation improvements needed for climate-resilient cities. It reviews ongoing reforms and tools tested during the study, and sets out the investments needed for more livable, climate-resilient cities.

Why it matters: Real estate developers, industrial investors and infrastructure investors depend on urban land administration, which the report finds is still being strengthened. It shows where the reforms are heading and what shapes site choice and project timelines, and it points to investment needs in urban infrastructure.

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Reform program · Published (research)

Second Sustainable and Inclusive Growth Development Policy Operation (P506352) - Program Information Document

Report No. PIDDA00178 · World Bank · May 29, 2025

This document describes a US$1 billion IDA operation, the second of two, supporting reforms in finance, trade and investment, fiscal policy and social resilience. It reports that the July 2024 FX liberalization narrowed parallel-market spreads and eased FX shortages, reserves rose to about two months of imports, and inflation fell from 27 percent to 13 percent by March 2025. Planned measures include restructuring the Commercial Bank of Ethiopia, more foreign investment and competition in banking, liberalizing FDI in trade sectors, streamlining customs, publishing telecom interconnection agreements, reforming corporate income tax incentives, and continuing quarterly electricity tariff increases.

Why it matters: This document sets out the reform agenda behind the World Bank's budget support. It points to the openings coming for foreign investors in banking and trade sectors and to expected changes in tax incentives and power tariffs. The World Bank rates the program's risk as substantial, so investors may want to track the pace of implementation.

Poverty and jobs · Published (research)

Ethiopia Poverty and Equity Assessment (Welfare at a Crossroads: Turning Tides)

World Bank · January 13, 2025

Using 2021 survey data, the assessment documents the need for faster private-sector job creation. It finds the poverty rate in surveyed areas rose from 24 percent in 2016 to 33 percent in 2021, as consumer prices roughly tripled while nominal incomes doubled. Job creation slowed to about 1.2 million in 2013 to 2021, compared with 8.5 million in 2005 to 2013. The report links slower private-sector growth to exchange rate misalignment and state dominance in the economy, the issues the 2024 reforms address.

Why it matters: Ethiopia has a large available labor supply, which supports labor-intensive investment. Consumer-facing businesses can use the income data to size demand, which is strongest in Addis Ababa and Dire Dawa. The report also explains why the macro and market reforms that investors are watching matter for growth.

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Reform program · Published (research)

Ethiopia First Sustainable and Inclusive Growth Development Policy Operation (P181591) - Program Document

Report No. PGD481 · World Bank · July 12, 2024

This program document supports a US$1.5 billion IDA operation approved after Ethiopia liberalized its exchange rate in July 2024. Its prior actions included submitting amendments to the National Bank of Ethiopia Establishment Proclamation and a new Banking Business Proclamation, five NBE prudential directives, a recapitalization plan for the Commercial Bank of Ethiopia, lifting export bans on maize, sorghum and barley, and submitting an AfCFTA tariff offer. It notes that CBE holds 58 percent of banking assets and that trade is only about 20 percent of GDP. It projects FDI to double as a share of GDP by FY2027.

Why it matters: This document explains the reasons for the 2024 FX and banking reforms and how they are sequenced. That helps foreign banks, exporters and importers understand the durability of the new rules. Its targets, such as raising private-sector credit from 45 to 55 percent of bank assets by 2027, are useful benchmarks for tracking access to finance.

Access to finance · Published (research)

Making Ethiopia's Financial Sector Work for Women: 10 Evidence-Based Ideas for Action

World Bank Africa Gender Innovation Lab, in consultation with the National Bank of Ethiopia · 2024-03

The brief finds that financial inclusion has grown rapidly and that women remain a large untapped market: in 2021, 39 percent of women and 55 percent of men had formal accounts. Women hold only 14 percent of mobile money accounts and receive much smaller loans. It proposes 10 actions, including lending that relies less on collateral, digital and redesigned loan products, use cases that make digital finance worth adopting for women, and gender-disaggregated reporting to regulators.

Why it matters: For banks, microfinance institutions and fintechs, this brief points to a large underserved market of women savers and borrowers. It also signals reporting and lending practices that the NBE may push lenders to adopt.

Climate and infrastructure · Published (research)

Ethiopia Country Climate and Development Report

CCDR Series (hdl.handle.net/10986/41114) · World Bank Group · February 27, 2024

The report estimates climate-related investment needs at about US$27.6 billion through 2050 and finds that structural reforms sharply reduce climate-related losses. Under current policies, it estimates climate change could cut GDP by about 1 to 1.5 percent a year in 2024 to 2030, with losses near 5 percent a year in the 2040s. Livestock, heat stress on labor, and roads and bridges are the largest channels.

Why it matters: The report's investment needs point to opportunities in climate-resilient infrastructure, irrigation and renewable energy. Investors in agriculture, livestock and infrastructure, and lenders to them, can use it to build climate resilience into project design and insurance.

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Tax and SMEs | Published (research)

Presumptive Tax on Small and Microenterprises with a Gender Lens in Ethiopia

Policy Research Working Paper 10707 · World Bank (Hitomi Komatsu, Development Data Group) · 2024-02

Using Ethiopian Socioeconomic Survey data and the tax code, the paper estimates effective presumptive tax rates on small and microenterprises by the owner's sex. It finds the smallest businesses face the highest effective rates, and sectors with no tax-free threshold, such as food and beverage services and transport, carry heavier burdens. The author proposes a simpler regime: a single turnover tax rate with an exemption for low-revenue businesses.

Why it matters: Small businesses, franchisors and distributors that rely on micro-retailers can use this paper to understand the turnover-band presumptive tax. It points to a possible reform of the regime that would encourage small firms to formalize and grow.

Manufacturing and industrial parks | Published (research)

On the Path to Industrialization: A Review of Industrial Parks in Ethiopia - Policy Report

World Bank (Senidu Fanuel, Matthew Butler, Philip Grinsted) · 2022

The review finds Ethiopia's industrial parks created about 90,000 direct jobs, mostly for women aged 18 to 25, and attracted 66 investors and about US$740 million to public parks. Net park exports reached US$163 million in 2019/20, about 40 percent of manufacturing exports. Local inputs are under 5 percent of intermediates, and garment exports have been concentrated in the US market (about 70 percent). Investors cited water, power and telecom interruptions, FX shortages, logistics costs and labor turnover, and the report recommends filling existing parks, building local supplier linkages and bringing in private operators.

Why it matters: Manufacturers considering Ethiopia's parks, now special economic zones, can use this review to plan for practical operating factors and to diversify export markets. It also points to openings for local suppliers such as fabric mills and for private park operators.

Growth and competitiveness | Published (research)

Ethiopia's Great Transition: The Next Mile - A Country Economic Memorandum

Report No. AUS0002952 · World Bank (Macroeconomics, Trade and Investment, Africa East Region) · June 17, 2022

The memorandum finds that growth averaged about 10 percent in 2004 to 2019. Most of it came from public investment, while total factor productivity declined in 2011 to 2020. State-owned enterprises took over 55 percent of bank credit, and the private sector's share stayed near 30 percent. The birr was overvalued by about 25 percent in 2019. It recommends exchange rate reform, removing credit distortions that favor the state, stronger public investment management, and better connectivity and labor mobility.

Why it matters: This is the main World Bank diagnosis behind the 2024 reforms. It explains why access to credit and FX has been the key constraint for private firms and why the reforms aim to widen it. It also shows which sectors and regions gain most as the state's share of credit falls and financial markets are liberalized.

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References for members. Every figure and statement in this digest is drawn from documents published by international institutions and the Government of Ethiopia. Direct links to every original document are is included in the member edition, available free to registered Investopia members on the platform.

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